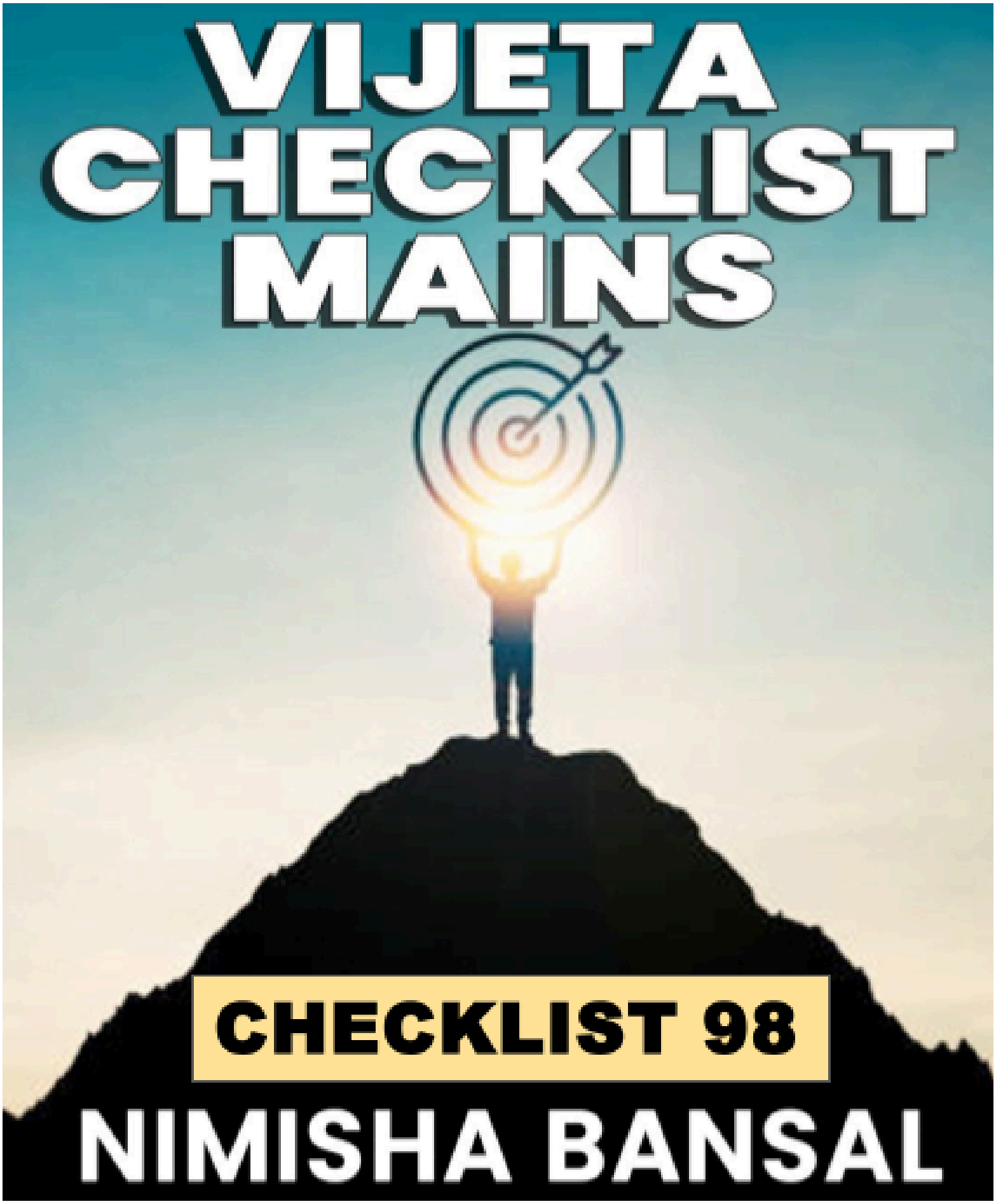
# VIJETA CHECKLIST MAINS



## CHECKLIST 98

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**Direction (1-5): Read the given passage carefully and answer the questions that follow.**

The Government will release a new foreign trade policy in the coming week that could include measures to help push up goods and services exports as well as **rein in** the runaway import bill. The current trade policy was introduced in 2015. When its five-year term ended a week after the national lockdown to curb the pandemic, it was extended for a year considering the extenuating circumstances. However, the old policy's extensions beyond March 2021, especially the current six month stretch that drags its end-date to September 30, are not as understandable. Beginning the

new policy in the middle of a financial year, unlike the traditional clean slate in a new fiscal year, is not ideal. Moreover, exports have been one of the few growth engines firing up the post-COVID recovery, so putting off a policy to bolster outbound shipments was baffling. Enunciating India's strategy to cash in on a world seeking to become less dependent on China would also enable exporters (and importers) to plan their investments ahead. Last January, a WTO-compliant export incentive scheme was kicked off to refund domestic taxes to exporters, but the rates were only

notified months later with a few sectors left out. Despite this completely avoidable uncertainty, goods exports touched a record $422 billion in 2021-22.

This year, the Government expects goods exports to hit at least $450 billion, but growth has slipped to the low single digits over July and August, while imports have been over $60 billion each month since March. A global growth slowdown and recession fears in Europe and the U.S. do not augur well; and though order books are still full, many buyers are seeking to defer deliveries. The new policy will

have to find ways to provide a leg-up to exports and address some of industry's key concerns, including a buffer against rising interest rates. With revenues buoyant, it is also time to reconsider the stance to exclude key growth sectors such as pharma, chemicals, and iron and steel from the duty remission scheme. Having decided to keep away from the trade track of the Indo-Pacific Economic Framework for now, assertions that the Government has 'no bandwidth' left for new free trade pact

negotiations though more countries are wooing it, and are seeking to slow talks with the Gulf Cooperation Council, are unnecessary. If there is a genuine constraint, a solution must be sought, perhaps, by roping in economic policy makers with residual bandwidth. But surely, there are better ways _____(A)_____, however small.

**Question 1:**

Choose the most suitable sentence that should be filled in the given **blank (A)** to make the sentence grammatically and contextually correct.

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**a.** To address this situation and stimulate domestic consumption, which has been a crucial factor in the post-COVID recovery.

**b.** To avoid these challenges and manage economic stability, particularly in the context of global deflation concerns.

**c.** to drive home India's rising clout than by driving away potential partner countries

**A.** Only a

**B.** Both b and c

**C.** Only c

**D.** Both a and b

**E.** All of a, b and c

**Question 2:**

Which of the following is/are **True** according to the given passage?

**a.** The upcoming policy is anticipated to detail India's approach to seizing opportunities arising from the global shift away from reliance on China.

**b.** To tackle real challenges, the government could engage economic policy experts with the capacity to develop solutions.

**c.** The government is keen to swiftly finalise trade deals with the Gulf Cooperation Council, displaying a highly accommodating approach.

**A.** Both a and b

**B.** Only b

**C.** Both b and c

**D.** Only c

**E.** All of a, b and c

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**Question 3:**

Which of the following is/are **False** according to the given passage?

a. India's post-COVID recovery heavily relies on exports, making delays in supporting outbound shipments quite perplexing.

b. The extensions of the old policy beyond March 2021, especially the current six-month stretch, are easily comprehensible.

c. The new policy disregards efforts to enhance exports and neglects addressing industry concerns, including safeguarding against rising interest rates.

**A.** Both a and b

**B.** Only b

**C.** Only c

**D.** Both b and c

**E.** All of a, b and c

**Question 4:**

In the questions below, a word/phrase has been highlighted above and used in the sentences below the same. You have to identify the sentence in which the word will give the same meaning as it gives in the passage.

**rein in**

a. The CEO knew it was time to **rein in** the company's expansion plans to avoid overextending resources.

b. The school board is planning to **rein in** a comprehensive music education program to enhance students' creativity and cultural awareness.

c. Following the renovation, the historic building was **reined in** as a cultural centre, showcasing its rich heritage.

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**A.** Both b and c

**B.** Only a

**C.** Both a and b

**D.** Only b

**E.** All of a, b and c

**Question 5:**

Which of the following is a key concern that the new trade policy is expected to address?

**A.** Providing incentives for higher imports and reducing export reliance

**B.** Buffering against rising interest rates and reducing government revenues

**C.** Excluding growth sectors such as pharma, chemicals, and iron and steel

**D.** Focusing on new free trade pact negotiations with more countries

**E.** Aligning with the Indo-Pacific Economic Framework for trade initiatives

**Direction (6-10): Read the given passage carefully and answer the questions that follow.**

On October 6, the Reserve Bank of India (RBI) stuck to its 6.5% GDP growth projection for the year, with risks from geopolitical tensions, economic fragmentation, volatile financial markets and an uneven monsoon, evenly balanced out by strengthening domestic demand. There was a belief that a period of heightened uncertainties was **(p) ebbing** but as the central bank Governor signalled last Friday,

new uncertainties have emerged over the fortnight since. The Israel-Hamas conflict that erupted a day after the monetary policy review has widened, and Finance Minister Nirmala Sitharaman has **(q) flagged** worries about implications on global food, fuel and fertiliser supplies. Given India's dependence on fuel and fertiliser imports, disruptions or price spikes could hurt the macro-economic framework, even if the government refrains from passing on higher prices to consumers and farmers

in the election season. The RBI chief also pointed to rising U.S. bond yields, which hit a 16-year high of 5% this week, mixed data points and signals from central banks around the world, as the new unknowns — even known unknowns such as financial market turmoil — have gotten more pronounced. A glimpse of this anxiety was visible this week, with the sharpest sell-off on Indian bourses since July.

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There is no certainty that the RBI would still uphold its ‘evenly balanced’ outlook towards the risks to growth. However, the Finance Ministry, while acknowledging that global uncertainties have compounded, seems largely **(r) sanguine** for now in its outlook for the economy. Its monthly economic review released on Monday asserts that growth “remains on track”, inflation is easing after a “temporary” seasonal surge in July-August, consumption demand is strengthening and investment demand is “also firming up”. On the “imminent fears” of rising crude oil prices, it noted that July-September quarter prices were still “way lower” than the $109.5 and $97.9 averages in the first and second quarter of 2022-23. The weak foreign trade picture is expected to recover and industrial job creation prospects are high for the next two quarters, while higher demand for housing and vehicle loans reflects bolstered confidence levels in households, it added. India’s macro fundamentals may

well hold up through the latest global storm, but the government would do well to drill a little deeper into consumption and hiring trends. The last quarter has seen a sharp slump in small car sales, consumer non-durables producers reporting weak rural demand and IT firms scaling down growth and hiring hopes. There is **_____(P)_____**, which would eventually hamper a broader investment revival.

**Question 6:**

What might be the Finance Ministry's perspective on the impact of rising crude oil prices, as described in the passage?

**A.** Rising crude oil prices are expected to severely affect India's economy.

**B.** The Finance Ministry is confident that India can absorb the impact of rising crude oil prices.

**C.** The Finance Ministry believes that crude oil prices will remain stable in the coming months.

**D.** India's economic outlook for FY24 remains bright and economic activity maintains its momentum.

**E.** None of the above.

**Question 7:**

In the given passage, three words are highlighted. These words can be used to fill in the blanks below. The orders of these words are jumbled. Choose the options that represent the correct order of the words to fill in the blanks.

**a.** The teacher's _____ approach to learning inspired her students, creating a positive and encouraging classroom atmosphere.

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**b.** The system automatically _____ duplicate entries in the database, ensuring data accuracy and consistency.

**c.** Despite the _____ light, he continued to read, captivated by the words on the pages, unwilling to put the book down until he reached the end.

**A.** pqr

**B.** rqp

**C.** prq

**D.** qpr

**E.** rpq

**Question 8:**

According to the passage, what is the Finance Ministry's view on the overall state of India's economy?

**A.** The Finance Ministry is extremely concerned about the state of the economy.

**B.** The Finance Ministry is cynical about the economy's future.

**C.** The Finance Ministry is cautious but believes the economy is on the right track.

**D.** The passage does not provide information about the Finance Ministry's view on the economy.

**E.** None of the above.

**Question 9:**

Choose the most suitable sentence that should be filled in the given **blank (P)** to make the sentence grammatically and contextually correct.

**a.** a growing concern about enriching consumer confidence

**b.** still much to be done to correct an uneven recovery

**c.** a noticeable slowdown in job creation and a reluctance among businesses

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**A.** Only a

**B.** Both b and c

**C.** Only b

**D.** Both a and b

**E.** All of a, b and c.

**Question 10:**

How does the passage suggest India's dependence on fuel and fertiliser imports might impact its macroeconomic framework?

**A.** Dependence on imports might hurt the macroeconomic framework due to potential disruptions or price spikes.

**B.** Disruptions in fuel and fertiliser supplies will significantly improve India's economy.

**C.** India's macroeconomic framework will remain unaffected by fuel and fertiliser imports.

**D.** An uneven recovery could hinder the effects on imports.

**E.** None of the above.

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## ANSWER

**1. Ans: C**

**Explanation:**

**Option c is appropriate with context.**

**Option a:** The sentence doesn't match the passage's focus on foreign trade policy, exports, and imports. It should directly relate to these aspects, not primarily address stimulating domestic consumption.

**Option b:** The option discussed economic stability and global deflation concerns, but it didn't directly address the issues related to foreign trade policy, exports, and imports, which are the main focus of the passage.

**2. Ans: A**

**Explanation:**

**Option a: True**

Enunciating India's strategy to cash in on a world seeking to become less dependent on China would also enable exporters (and importers) to plan their investments ahead.

**Option b: True**

If there is a genuine constraint, a solution must be sought, perhaps, by roping in economic policy makers with residual bandwidth.

**Option c: False**

Having decided to keep away from the trade track of the Indo-Pacific Economic Framework for now, assertions that the Government has 'no bandwidth' left for new free trade pact negotiations though more countries are wooing it, and are seeking to slow talks with the Gulf Cooperation Council, are unnecessary.

**3. Ans: D**

**Explanation:**

**Option a: True**

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Moreover, exports have been one of the few growth engines firing up the post-COVID recovery, so putting off a policy to bolster outbound shipments was baffling

**Option b: False**

However, the old policy's extensions beyond March 2021, especially the current six month stretch that drags its end-date to September 30, are not as understandable.

**Option c: False**

The new policy will have to find ways to provide a leg-up to exports and address some of industry's key concerns, including a buffer against rising interest rates.

**4. Ans: B**

**Explanation:**

**Rein in:** to limit or control (someone or something)

**Option a** used the word appropriately.

**Option b:** The school board is planning to **introduce** a comprehensive music education program to enhance students' creativity and cultural awareness.

**Option c:** Following the renovation, the historic building was **established** as a cultural centre, showcasing its rich heritage.

**5. Ans: C**

**Explanation:**

The passage mentions that one of the key concerns the new trade policy is expected to address is reconsidering the exclusion of key growth sectors such as pharma, chemicals, and iron and steel from the duty remission scheme.

**6. Ans: B**

**Explanation:**

**The question is based on the possibility, so based on the following reference-**

The passage mentions that the Finance Ministry noted that the prices of crude oil in the July-September quarter were "way lower" the $109.5 and $97.9 averages in the first and second quarter of 2022-23, suggesting that the Finance Ministry is confident in India's ability to absorb the impact of rising crude oil prices.

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**7. Ans: B**

**Explanation:**

**Ebbing:** to become weaker.

**Flagged:** a concern or issue has been raised.

**Sanguine:** cheerful, hopeful and confident about the future.

**8. Ans: C**

**Explanation:**

The passage indicates that the Finance Ministry, while acknowledging that global uncertainties have compounded, seems largely sanguine for now in its outlook for the economy.

**9. Ans: C**

**Explanation:**

**Option b is appropriate with the context:** This directly fits the context because it acknowledges the uneven nature of the recovery discussed earlier (weak rural demand, uneven car sales, etc.). It adds a sense of incompleteness in addressing the recovery challenges.

**Option a:** While this could seem relevant, it doesn't tie directly to the specific challenges already outlined (e.g., weak rural demand and job scaling). It is vague and doesn't align with the idea of the uneven recovery explicitly mentioned in the passage.

**Option c:** This overlaps with the earlier point in the passage about IT firms scaling down growth and hiring hopes. Repeating this point would be redundant rather than adding value to the argument.

**10. Ans: A**

**Explanation:**

The passage mentions that India's dependence on fuel and fertiliser imports could hurt the macroeconomic framework if there are disruptions or price spikes, even if the government refrains from passing on higher prices to consumers and farmers.

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